

Skeena Resources

High grade results from 2023 drill programme, work to commence on Hoodoo

Skeena Resources ('SKE') has announced drill results from its 2023 exploration programme with high grade intersection reported from the near mine programme in the vicinity of the 22 Zone. Testing of the Eskay Deeps zone also intersected anomalous mineralisation with further work planned. During 2024 SKE is planning to complete a seismic survey to define targets that could host Eskay Creek style mineralisation. A programme of regional exploration is also planned at the newly acquired Hoodoo project and the KSP target. The main catalyst for the shares should be continuing to advance the permitting and financing process for Eskay Creek following the commencement of earthworks in 2023, with commercial production targeted for 2026, and advancing exploration at the high grade Snip deposit that could augment the feed from Eskay Creek, boosting the economics of the project.

Near mine results intersect high grade near to 22 Zone

SKE completed 13 surface drillholes in 2023 with drilling near to the 22 Zone intersecting footwall gold-silver mineralisation including 19.87g/t gold and 59.1g/t silver over 2.95m (SK-23-1203) with mineralisation also intersected 200m to the north in SK-253-1200. While management has observed that these results should not impact the open pit resource and reserve, they highlight the potential for additional zones to be delineated. Phase I of the Eskay Deeps drill programme was made up of 13,787m of drilling over 8 holes focused on an area 350m x 100m down dip of the main deposit. This drilling intersected anomalous mineralisation in the contact mudstone with higher grade mineralisation intersected at 120m beneath the Contact Mudstone within the footwall rhyolite breccias. The data from this programme has improved SKE's understanding of the deposit and will be used to design future programmes. During 2024 SKE plans to conduct a seismic survey to better understand structures at depth that host Eskay Creek style mineralisation. This will also be used to target future drilling.

Regional exploration to target Hoodoo

The company staked the Hoodoo project in Q4 2023, which covers 74,633Ha of ground to the northwest of Eskay creek and the south of Galore Creek (Newmont/Teck). This takes SKE's total land package in the Golden Triangle to 178,901Ha. The area has not been explored previously, however, SKE believes it to be prospective for alkalic porphyry mineralisation and could be analogous with deposits in British Columbia such as New Afton (New Gold) and Galore Creek. SKE is planning to select targets at both the Hoodoo and KSP projects with 14,000m of drilling budgeted for this year. These earlier stage projects could provide additional catalysts for SKE's share price beyond the Eskay Creek/Snip and consolidates SKE's exploration position in the Golden Triangle.

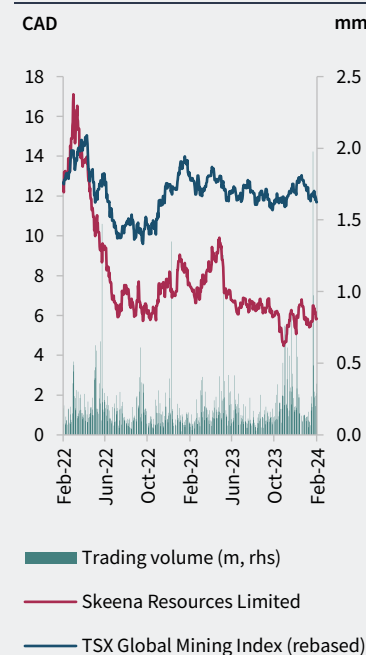
C\$15.50/sh valuation implies 165% upside

Our base assumption values Eskay Creek at C\$2,365m (Dec'24) using a long-term gold price of US\$1,850/oz, silver price of US\$25/oz and a WACC of 5%. We value Snip and the likely expansion potential of Eskay Creek at C\$539m. We apply 0.75x and 0.65x multiples, respectively, to take account of development, permitting and finance risks. Including the likely capital structure this implies a valuation of C\$15.50/share.

GICS Sector	Materials
Ticker	SKE:CN
Market cap 9-Feb-2024 (C\$m)	527
Share price 9-Feb-2024 (C\$)	5.84
Target Valuation (C\$)	15.50

+165%

Upside from current share price to our C\$15.50/sh valuation



Jonathan Guy

Director, Mining Research

T +44-207-907-8500

E jonathan.guy@hannam.partners

Roger Bell

Managing Director, Research

T +44-207-907-8534

E rb@hannam.partners

Oscar Norris

Research Analyst

T +44-207-907-8536

E on@hannam.partners

Jay Ashfield

Director, Mining Sales

T +44-207-907-2022

E ja@hannam.partners

H&P Advisory Ltd

7-10 Chandos Street

London W1G 9DQ

Disclaimer

This Document has been prepared by H&P Advisory Limited ("H&P"). It is protected by international copyright laws and is for the recipient's use in connection with considering a potential business relationship with H&P only. This Document and any related materials are confidential and may not be distributed or reproduced (in whole or in part) in any form without H&P's prior written permission.

By accepting or accessing this Document or any related materials you agree to be bound by the limitations and conditions set out herein and, in particular, will be taken to have represented, warranted and undertaken that you have read and agree to comply with the contents of this disclaimer including, without limitation, the obligation to keep information contained in this Document and any related materials confidential.

This Document does not represent investment research for the purposes of the rules of the Financial Conduct Authority ("FCA Rules"). To the extent it constitutes a research recommendation, it takes the form of NON-INDEPENDENT research for the purposes of the FCA Rules. As such it constitutes a MARKETING COMMUNICATION, has not been prepared in accordance with legal requirements designed to promote the independence of investment research and is not subject to any prohibition on dealing ahead of dissemination of investment research.

The information contained herein does not constitute an offer or solicitation to sell or acquire any security or fund the acquisition of any security by anyone in any jurisdiction, nor should it be regarded as a contractual document. Under no circumstances should the information provided in this Document or any other written or oral information made available in connection with it be considered as investment advice, or as a sufficient basis on which to make investment decisions. This Document is being provided to you for information purposes only.

The distribution of this Document or any information contained in it and any related materials may be restricted by law in certain jurisdictions, and any person into whose possession this Document or any part of it comes should inform themselves about, and observe, any such restrictions.

The information in this Document does not purport to be comprehensive and has been provided by H&P (and, in certain cases, third party sources) and has not been independently verified. No reliance may be placed for any purposes whatsoever on the information contained in this Document or related materials or in the completeness of such information.

The information set out herein and in any related materials reflects prevailing conditions and our views as at this date and is subject to updating, completion, revision, verification and amendment, and such information may change materially. H&P is under no obligation to provide the recipient with access to any additional information or to update this Document or any related materials or to correct any inaccuracies in it which may become apparent.

Whilst this Document has been prepared in good faith, neither H&P nor any of its group undertakings, nor any of its or their respective directors, members, advisers, representatives, officers, agents, consultants or employees makes, or is authorised to make any representation, warranty or undertaking, express or implied, with respect to the information or opinions contained in it and no responsibility or liability is accepted by any of them as to the accuracy, completeness or reasonableness of such information or opinions or any other written or oral information made available to any party or its advisers. Without prejudice to the foregoing, neither H&P nor any of its group undertakings, nor any of its or their respective directors, members, advisers, representatives, officers, agents, consultants or employees accepts any liability whatsoever for any loss howsoever arising, directly or indirectly, from use of this Document and/or related materials or their contents or otherwise arising in connection therewith. This Document shall not exclude any liability for, or remedy in respect of, fraudulent misrepresentation.

All statements of opinion and/or belief contained in this Document and all views expressed and all projections, forecasts or statements regarding future events or possible future performance represent H&P's own assessment and interpretation of information available to it as at the date of this Document. This Document and any related materials may include certain forward-looking statements, beliefs or opinions. By their nature, forward-looking statements involve risk and uncertainty because they relate to events and depend on circumstances that will occur in the future. There can be no assurance that any of the results and events contemplated by the forward-looking statements contained in the information can be achieved or will, in fact, occur. No representation is made or any assurance, undertaking or indemnity given to you that such forward looking statements are correct or that they can be achieved. Past performance cannot be relied on as a guide to future performance.

This document is directed only at persons who: (i) are Qualified Investors within the meaning of Article 2(e) of Regulation (EU) 2017/1129, as it forms part of UK law by virtue of the European Union (Withdrawal) Act 2018, (as amended); and (ii) have professional experience in matters relating to investments who fall within the definition of "Investment Professionals" contained in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended) (the "Order") or are persons falling within Article 49(2)(a) to (d) (High Net Worth Companies, Unincorporated Associations, etc.) of the Order, or fall within another exemption to the Order (all such persons referred to in (i) and (ii) above together being referred to as "Relevant Persons"). Any person in the United Kingdom who is not a Relevant Person must not act or rely on this document or any of its contents. In the United Kingdom, any investment or investment activity to which this document relates is available only to Relevant Persons and will be engaged in only with Relevant Persons. By accepting receipt of this document, each recipient is deemed to confirm, represent and warrant that they are a Relevant Person. This Document is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation. In particular, the information contained in this Document is not for publication, release or distribution, and may not be taken or transmitted into: (i) the United States or its territories or possessions, or distributed, directly or indirectly, in the United States, its territories or possessions or to any U.S. person as such term is defined in Regulation S of the Securities Act; or (ii) Australia, Canada, Japan, New Zealand or the Republic of South Africa. Any failure to comply with this restriction may constitute a violation of United States, Canadian, Japanese, New Zealand or South African securities law. Further, the distribution of this document in other jurisdictions may be restricted by law, and persons into whose possession this Document comes are required to inform themselves about, and observe, any such restrictions.

H&P may from time to time have a broking, corporate finance advisory or other relationship with a company which is the subject of or referred to in the Document. This Document may contain information obtained from third parties, including ratings from credit ratings agencies such as Standard & Poor's. Reproduction and distribution of third party content in any form is prohibited except with the prior written permission of the related third party. Third party content providers do not guarantee the accuracy, completeness, timeliness or availability of any information, including ratings, and are not responsible for any errors or omission (negligent or otherwise), regardless of the cause, or for the results obtained from the use of such content. Third party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third party content providers shall not be liable for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees or losses (including lost income or profits and opportunity costs or losses caused by negligence) in connection with any use of their content including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.

H&P Advisory Ltd is registered in England No.11120795. Registered Office: 3rd Floor, 7-10 Chandos Street, London W1G 9DQ. H&P Advisory Ltd is authorised and regulated by the Financial Conduct Authority (Firm Reference Number 805667).